



# LUFWANYAMA TOWN COUNCIL

**FINANCIAL STATEMENTS FOR THE YEAR ENDED  
31<sup>ST</sup> DECEMBER 2023**

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## **REPORT OF THE COUNCIL**

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31<sup>st</sup> December 2023 which disclose the sources, utilization and balances of cash for Lufwanyama Town Council during the period under review.

### **Background and Location of the Council**

Lufwanyama District is on the Copperbelt Province of Zambia sharing borders with eight (8) other districts being, Kalulushi, Kitwe, Masaiti, Mpongwe, Luanshya, Kasempa, Chingola and Solwezi. The district provides a direct connection to towns in the North-Western Province including Kasempa, Kabompo, Zambezi and Chavuma through the Kalengwa-M18 road. The major source of income of the local people is mainly from small scale farming, fishing and mining.

Lufwanyama is found in the western part of the Copperbelt Province. It lies between latitudes 13°44' and 12°20' south of the Equator. Longitudinally, it lies between 26°10' East.

The administrative centre lies in the protected forest area of the Lamba Headwaters Block-A, along the Kalengwa-M18 road, 580 Kilometre (Km) from Lusaka, the capital city of Zambia, 137 Kilometre (Km) from Ndola, the Provincial Headquarter, 65 Kilometre (Km) west of Kitwe, 55 Kilometre (Km) west of Kalulushi and 2 Kilometre (Km) east of the Lufwanyama River Bridge.

Lufwanyama is the largest districts on the Copperbelt Province, covering an area of 7880 Square Kilometre (Km) of the provincial total area of 31,328 Kilometre (Km). It accounts for 31.4 percent of the provincial landmass.

The District has three (3) main rivers namely the Luswishi, Katembula and Lufwanyama rivers, which are tributaries of the Kafue river, which forms the boundary between Lufwanyama and the eastern and South-eastern District in the province. These rivers receive water from the numerous perennial streams, which form an extensive network of rich water resources the district is endowed with. These include the Kabundia, Sokontwe, Luela, Kansoka, Lumwana, Mubende, Mitwe, Chapula, Kasho, Kafubu and Funda.

The address of the registered office of Lufwanyama Town Council (LTC) is as follows:

The Civic Centre  
Kalengwa Road  
P O Box 260500  
**Lufwanyama**

## REPORT OF THE COUNCIL

### Composition of the Council

Lufwanyama Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act No.2 of 2019. As a Local Authority, the Town Council administers the Lufwanyama District.

The Council is composed of an elected Council Chairperson, twenty (20) elected Councillors from twenty (20) wards, and three (3) chiefs as provided for under Article 153 (2)(c) of the Constitution of Zambia (Amendment) Act No.2 of 2016. The current Council was elected to office in 2021 to serve a five-year term up to 2026. The Deputy Chairperson was elected from among the Councillors in 2024 for the period of two and half years.

The Councillors who held office during the year were:

| S/N | NAME              | GENDER | POSITION                   | WARD                 |
|-----|-------------------|--------|----------------------------|----------------------|
| 1   | Annie Kapandula   | Female | Council Chairperson        | Not applicable       |
| 2   | Gilbert Mukombola | Male   | Deputy Council Chairperson | Chinemu              |
| 3   | Renox Kaseka      | Male   | Councillor                 | Sokontwe             |
| 4   | Patson Sikwimba   | Male   | Councillor                 | Kabundia             |
| 5   | Graham Sawalunga  | Male   | Councillor                 | Luswishi             |
| 6   | Zolile Zimba      | Male   | Councillor                 | Mibenge              |
| 7   | Lungebe Nickson   | Male   | Councillor                 | Mwelushi             |
| 8   | Chooye Himaluwani | Male   | Councillor                 | Lwabufubu            |
| 9   | Chola Damson      | Male   | Councillor                 | Kafubu               |
| 10  | Mwashi Matela     | Male   | Councillor                 | Mushingashi          |
| 11  | Katiki Angel      | Male   | Councillor                 | Milopa               |
| 12  | Mukinina Stephen  | Male   | Councillor                 | Kansanta             |
| 13  | Lee Mukazo        | Male   | Councillor                 | Kansonka             |
| 14  | Mushikita Earnest | Male   | Councillor                 | Mukumbo              |
| 15  | Choosa Derrick    | Male   | Councillor                 | Bulaya               |
| 16  | Moses Kazeka      | Male   | Councillor                 | Chantete             |
| 17  | Edward Kapandula  | Male   | Councillor                 | Katembula            |
| 18  | Soul Kapepa       | Male   | Councillor                 | Lufwanyama           |
| 19  | Chola Kanda       | Male   | Councillor                 | Mpindi               |
| 20  | Martin Mulambo    | Male   | Councillor                 | Mitwe                |
| 21  | Chewe Kabanda     | Female | Councillor                 | Chibanga             |
| 22  | Rodson Mwale      | Male   | Chief                      | Mukutuma Chiefdom    |
| 23  | Yani Mabenga      | Female | Chieftainess               | Shimukunami Chiefdom |
| 24  | Godfrey Shamanena | Male   | Senior Chief               | Nkana Chiefdom       |

The District also has one (1) elected Member of Parliament for Lufwanyama constituency. The Member of Parliament who held office during the year was:

| S/N | NAME            | GENDER | CONSTITUENCY |
|-----|-----------------|--------|--------------|
| 1   | Hon. Siachisumo | Male   | Lufwanyama   |

## REPORT OF THE COUNCIL

The District Commissioner coordinates the affairs of Central Government in the District. During the year under review Mr. Justine Mwalikwa was the District Commissioner for Lufwanyama District.

### The Council Secretariat

The Council Secretary heads the Secretariat of Lufwanyama Town Council. The Local Government Service Commission appoints the Council Secretary and the rest of the Secretariat.

Four (4) Directors responsible for Finance, Planning, Works, and Administration, and two (2) Heads of Units namely Procurement and Internal Audit assist the Council Secretary.

### Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No.2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

### Financial Results

|                                                  | 2023         | 2022         |
|--------------------------------------------------|--------------|--------------|
|                                                  | Kwacha       | Kwacha       |
| Cash Receipts                                    | 60,226,089   | 46,528,095   |
| Payments                                         | (66,576,384) | (30,748,481) |
| Increase/(Decrease) in Cash and Cash Equivalents | (6,350,295)  | 15,779,614   |

### Key Policies Adopted During the Year

The Council did not adopt any policy during the year

### Related Party Transactions

There were no related party transactions during the financial year.

### Property, Plant and Equipment

The Council invested in property, plant and equipment amounting to K28,285,622 during the Financial year Ending 31<sup>st</sup> December 2023.

### Intangible Assets

There were no purchases of intangible assets during the year.

### Employees

The number of employees at the beginning of the year was 106 and the number of employees at the end of the year was 121. The total amount spent on employees' remuneration and welfare during the year was

K11,463,871

### Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

### Recreation

The Council incurred cost of K245,381 in relation to sponsoring various sporting activities

### Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No.2 of 2019, the Auditor-General audits the Council.

By order of the Council

Signature: *A. Kapandula*

Name: *ANNIE KAPANDULA*

Position: Council Chairperson

Date: *28<sup>TH</sup> NOV*.....2024



## STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Lufwanyama Town Council is responsible for preparing the financial statements for the year ended 31<sup>st</sup> December 2023 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2020, and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor General has audited the financial statements, and his report is shown on pages 7 to 9.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of Cap 281 of the Laws of Zambia, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2018.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- For designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Lufwanyama Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Town Council for the financial year ended 31<sup>st</sup> December 2023

Signed on behalf of the Council on ..... by;

Name... LYNDA MAPARA .....

Signature: ..... [Signature] .....

Position: Council Secretary

Name: ANNIE KAPANDULA .....

Signature: ..... A. Kapandula .....

Position: Council Chairperson

Name... Bwalya Machuta .....

Signature: ..... [Signature] .....

Position: Director Finance



**INDEPENDENT AUDITOR'S REPORT**

**STAND No.7951**

**HAILE SELASSIE AVENUE,  
LONGACRES**

**P.O BOX 50071**

**LUSAKA, ZAMBIA**

**E-mail: [auditor@ago.gov.zm](mailto:auditor@ago.gov.zm)**

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**Telephone: +260252611/252771**

To: The Minister – Ministry of Local Government and Rural Development

**Report on the Audit of the Financial Statements for Lufwanyama Town Council for the  
Financial Year Ended 31<sup>st</sup> December 2023**

**Opinion**

I have audited the financial statements of the Lufwanyama Town Council for the financial year ended 31st December 2023 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) and a summary of significant accounting policies and other explanatory information.

In my opinion, the accompanying financial statements of Lufwanyama Town Council present fairly, in all material respects, its cash receipts and payments and balances for the year ended 31<sup>st</sup> December 2023 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Local Authorities Accounting Policies (LAAPs).

**Basis for Opinion**

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the audit of the Financial Statements section of my report. I am independent of Lufwanyama Town Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities

in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

### **Key Audit Matters**

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the financial statements. Key audit matters are selected from the matters communicated to those charged with governance but are not intended to represent all matters that were discussed with them.

However, I have determined that there are no key audit matters to communicate.

### **Responsibilities of Management and Those Charged with Governance for the Financial Statements**

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No.2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. Those charged with governance are responsible for overseeing the Council's financial reporting process.

### **Auditor's Responsibilities for the Audit of the Financial Statements**

My objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional scepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Council's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

In communicating with those charged with governance, I also determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. I describe these matters in my audit report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

#### **Report on Other Legal and Regulatory Requirements**

The Council is required, under Section 45 of the Local Government Act No. 2 of 2019 to prepare a Statement of Comprehensive Income and a Statement of Financial Position. However, the Council prepared the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) using Cash Basis IPSAS in line with the LAAPS.



Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE

**ACTING AUDITOR GENERAL**

.....

**DATE:**

29/11/2024

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED  
31<sup>ST</sup> DECEMBER 2023**

|                                    |    | 2023<br>Kwacha     | 2022<br>Kwacha    |
|------------------------------------|----|--------------------|-------------------|
| <b>RECEIPTS</b>                    |    |                    |                   |
| Local Taxes                        | 2  | 15,996,210         | 4,133,817         |
| Fees and Charges                   | 3  | 2,881,426          | 3,134,942         |
| Licences                           | 4  | 108,418            | 168,421           |
| Levies                             | 5  | 765,773            | 800,171           |
| Permits                            | 6  | 232,149            | 281,155           |
| Local Government Equalisation Fund | 7  | 10,088,200         | 10,175,337        |
| Constituency Development Fund      | 8  | 27,261,470         | 23,739,911        |
| Other Grants                       | 9  | 2,085,025          | 3,663,764         |
| Borrowings                         | 10 | -                  | -                 |
| Commercial Venture                 | 11 | 87,801             | -                 |
| Other Receipts                     | 12 | 719,617            | 430,577           |
| <b>TOTAL RECEIPTS</b>              |    | <b>60,226,089</b>  | <b>46,528,095</b> |
| <b>PAYMENTS</b>                    |    |                    |                   |
| Personal Emoluments                | 13 | 11,463,871         | 10,125,410        |
| Use of goods and services          | 14 | 19,358,112         | 10,626,184        |
| Financial Charges                  | 15 | -                  | -                 |
| Social benefits                    | 16 | 1,454,932          | 3,970,384         |
| Non-Financial asset acquisition    | 17 | 28,285,622         | 5,380,113         |
| Financial Assets                   | 18 | 5,915,784          | -                 |
| Loan Repayments                    | 19 | -                  | -                 |
| Other payments                     | 20 | 98,063             | 646,390           |
| <b>TOTAL PAYMENTS</b>              |    | <b>66,576,384</b>  | <b>30,748,481</b> |
| <b>Increase/(decrease) in Cash</b> |    | <b>(6,350,295)</b> | <b>15,779,614</b> |
| <b>Foreign Exchange Losses</b>     | 21 | -                  | -                 |
| Cash at beginning of the year      | 22 | 22,512,657         | 6,733,043         |
| <b>Cash at the end of the year</b> | 22 | <b>16,162,362</b>  | <b>22,512,657</b> |

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Name: LYNDA MAPARA

Signature: [Signature]

Position: Council Secretary

Name: Bwalya Machuta

Signature: [Signature]

Position: Director Finance

Name: ANNIE KAPANDOLA

Signature: [Signature]

Position: Council Chairperson



LUFWANYAMA TOWN COUNCIL  
FINANCIAL STATEMENTS FOR THE YEAR ENDED 31<sup>ST</sup> DECEMBER 2023

**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE  
YEAR ENDED 31<sup>ST</sup> DECEMBER 2023**

|                                   | Original Budget<br>Kwacha | Adjustments<br>Kwacha | Final Budget<br>Kwacha | Actual Amounts<br>Kwacha | %<br>Performance | Variance<br>Kwacha | % Variance |
|-----------------------------------|---------------------------|-----------------------|------------------------|--------------------------|------------------|--------------------|------------|
| <b>RECEIPTS</b>                   |                           |                       |                        |                          |                  |                    |            |
| Local Taxes                       | 12,342,468                | 3,367,253             | 15,709,721             | 15,996,210               | 102%             | (286,489)          | -2         |
| Fees and Charges                  | 4,800,011                 | -                     | 4,800,011              | 2,881,425                | 60%              | 1,918,586          | 40         |
| Licences                          | 154,000                   | -                     | 154,000                | 108,418                  | 70%              | 45,582             | 30         |
| Levies                            | 731,671                   | -                     | 731,671                | 765,773                  | 105%             | (34,102)           | -5         |
| Permits                           | 290,600                   | -                     | 290,600                | 232,149                  | 80%              | 58,451             | 20         |
| Local Government Eq               | 10,396,232                | -                     | 10,396,232             | 10,088,200               | 97%              | 308,032            | 3          |
| Constituency Develop              | 28,300,000                | -                     | 28,300,000             | 27,261,470               | 96%              | 1,038,530          | 4          |
| Other Grants                      | -                         | -                     | -                      | 2,085,025                |                  | (2,085,025)        |            |
| Borrowings                        | -                         | -                     | -                      | -                        |                  | -                  |            |
| Commercial Venture                | -                         | -                     | -                      | 87,801                   |                  | (87,801)           |            |
| Other Receipts                    | 195,000                   | -                     | 195,000                | 719,617                  | 369%             | (524,617)          | -269       |
| <b>TOTAL RECEIPTS</b>             | <b>57,209,982</b>         | <b>3,367,253</b>      | <b>60,577,235</b>      | <b>60,226,088</b>        | <b>99%</b>       | <b>351,147</b>     | <b>1</b>   |
| <b>PAYMENTS</b>                   |                           |                       |                        |                          |                  |                    |            |
| Personal Emoluments               | 11,187,128                | 999,056               | 12,186,184             | 11,463,871               | 94%              | 722,313            | 6          |
| Use of goods and serv             | 17,453,144                | 1,729,488             | 19,182,632             | 19,358,112               | 101%             | (175,480)          | -1         |
| Financial Charges                 | -                         | -                     | -                      | -                        |                  | -                  |            |
| Social benefits                   | 5,379,642                 | -                     | 5,379,642              | 7,370,716                | 137%             | (1,991,074)        | -37        |
| Non-financial assets              | 22,430,068                | 638,709               | 23,068,777             | 28,285,622               | 123%             | (5,216,845)        | -23        |
| Financial Assets                  | -                         | -                     | -                      | -                        |                  | -                  |            |
| Loan Repayments                   | -                         | -                     | -                      | -                        |                  | -                  |            |
| Other payments                    | 760,000                   | -                     | 760,000                | 98,063                   | 13%              | 661,937            | 87         |
| <b>TOTAL PAYMENTS</b>             | <b>57,209,982</b>         | <b>3,367,253</b>      | <b>60,577,235</b>      | <b>66,576,384</b>        | <b>110%</b>      | <b>(5,999,149)</b> | <b>-10</b> |
| <b>Increase/(Decrease in Cash</b> |                           | <b>-</b>              |                        | <b>(6,350,296)</b>       | <b>-</b>         |                    |            |

The composition of budget adjustments and explanations of major variances are provided in note 23

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT EQUALISATION FUND (LGEF) FOR YEAR ENDED 31<sup>ST</sup> DECEMBER 2023**

|                                          |             | <b>2023</b>       | <b>2022</b>       |
|------------------------------------------|-------------|-------------------|-------------------|
|                                          |             | <b>Kwacha</b>     | <b>Kwacha</b>     |
| <b>RECEIPTS</b>                          | <b>Note</b> |                   |                   |
| Funding                                  | 7(a)        | 10,088,200        | 10,175,337        |
| <b>TOTAL RECEIPTS</b>                    |             | <b>10,088,200</b> | <b>10,175,337</b> |
| <b>PAYMENTS</b>                          |             |                   |                   |
| <b>Operational Expenditure Payments:</b> |             |                   |                   |
| Salaries and Wages                       | 7(b)        | 6,335,270         | 7,425,648         |
| Terminal Benefits                        |             | -                 | -                 |
| Utility bills                            |             | -                 | -                 |
| Service Provision                        |             | 1,024,763         | -                 |
| Goods and Services                       |             | -                 | -                 |
| Administrative Costs                     |             | 834,833           | 813,000           |
| Other Costs                              |             | -                 | -                 |
| <b>Sub-Total</b>                         |             | <b>8,194,866</b>  | <b>8,238,648</b>  |
| <b>Capital Expenditure Payments:</b>     |             |                   |                   |
| Infrastructre Development                | 7(c)        | 1,888,872         | 2,228,807         |
| Rehabilitation Works                     |             | 79,920            | -                 |
| Asset Acquisition                        |             | -                 | -                 |
| Other Costs                              |             | -                 | -                 |
| <b>Sub-Total</b>                         |             | <b>1,968,792</b>  | <b>2,228,807</b>  |
| <b>TOTAL PAYMENTS</b>                    |             | <b>10,163,658</b> | <b>10,467,455</b> |
| <b>Increase/(decrease) in cash</b>       |             | <b>(75,458)</b>   | <b>- 292,118</b>  |
| Cash at the beginning of the year        |             | 545,072           | 837,190           |
| Cash at the end of the year              |             | <b>469,614</b>    | <b>545,072</b>    |

The closing balance refers to the closing balance on Capital Funds-Investrust account-0110288211010 (K198 324) and Capital Funds-Natsave Account K271 289.72)

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY  
DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31<sup>ST</sup> DECEMBER 2023**

|                                       |      | <b>2023</b>       | <b>2022</b>       |
|---------------------------------------|------|-------------------|-------------------|
| <b>RECEIPTS</b>                       |      | <b>Kwacha</b>     | <b>Kwacha</b>     |
| Funding                               | 8(a) | 27,261,470        | 23,739,911        |
| Loan Repayments                       | 8(b) | 328,190           | -                 |
| Other sources                         | 8(c) | 21,500            | 47,000            |
| <b>TOTAL FUNDING</b>                  |      | <b>27,611,160</b> | <b>23,786,911</b> |
| <b>PAYMENTS</b>                       |      |                   |                   |
| Infrastructure Development            | 8(d) | 22,839,276        | 3,151,309         |
| Rehabilitation Works & upgrades       | 8(e) | 121,193           | 58,960            |
| Asset Acquisition                     | 8(f) | 63,380            | -                 |
| Rural Electrification                 | 8(g) | 183,496           | -                 |
| Social Benefits                       | 8(h) | 1,454,932         | 2,258,588         |
| Loans                                 | 8(i) | 5,915,784         | -                 |
| Secondary Boarding Schools &          | 8(j) | 3,851,211         | 2,044,558         |
| Administrative Costs                  | 8(k) | 1,846,326         | 948,584           |
| Disaster Contingency                  | 8(l) | 671,303           | -                 |
| <b>TOTAL PAYMENTS</b>                 |      | <b>36,946,900</b> | <b>8,461,999</b>  |
| Increase/(decrease) in Cash           |      | (9,335,740)       | 15,324,912        |
| Cash at beginning of the year         |      | 17,263,909        | 1,938,997         |
| <b>Cash as at 31st December, 2023</b> |      | <b>7,928,168</b>  | <b>17,263,909</b> |

The Closing balance of **K7,928,168** is broken down as follows:

CDF Main Account K7,680,359 and CDF Revolving Fund Account K247,809

## SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

### 1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

#### 1.1 Migration to Accrual Basis Financial Reporting

Lufwanyama Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. In applying Cash Basis of Accounting, the Council followed guidance listed below:

- (a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.

This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.

- (b) Accounting Pronouncement: 2023/1 – Applicability of International Public Sector Accounting Standards (IPSASs)

This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act No. 13 of 2008 requires the adoption of Accrual Basis of Accounting by public entities by 1<sup>st</sup> January 2025 with a transition period of three (3) years. The Council is preparing to adopt Accrual Basis IPSASs on 1<sup>st</sup> January 2025.

- (c) Treasury and Financial Management Circular No.18 of 2022 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018.

The Treasury and Financial Management Circular provides as follows:

- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.

- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31<sup>st</sup> December 2022 up to 31<sup>st</sup> December 2024.

#### SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1<sup>st</sup> January 2025 by following the guidelines provided in IPSAS 33 – "First Time Adoption of Accrual Basis IPSASs".
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1<sup>st</sup> January 2025 and should end on 31<sup>st</sup> December, 2027. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act No. 2 of 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

#### 1.2 Reporting Entity

The **Financial** Statements are prepared for Lufwanyama Town Council (LTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2020, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

#### 1.3 Authorisation Date

The financial statements were authorized for issue on **18/12/24** by the ordinary council meeting.

#### 1.4 Revenue

Revenue is recognised when cash is received. It is generated from various sources as explained below:

##### a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act, 2016 authorizes Lufwanyama Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act, 1991 Cap 281 section 69(1) prescribes a system of local taxes by empowering Local Authorities to make by-laws imposing all or any of the following levies:

## **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES**

### **a. Fees or Charges**

Section 70 (1) of the Local Government Act, 1991 as amended by Act 19 of 1992 empowers Local Authorities to impose fees or charges payable to the Council:

- For any licence or permit issued under any by-law or regulation made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits.
- For any service or facility provided or goods or documents supplied by the Council in pursuance of or in connection with the discharge of any function of the Council. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

### **1.5 Expenditure**

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

### **1.6 Reporting on Gross Basis**

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements.

### **1.7 Cash at the Beginning and End of the Year**

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

## SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

### 1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

### 1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is guided by Guidelines on the Management and Utilisation of Constituency Development Fund of 2016. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

### 1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

### 1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

### 1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

### 1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions. The Council did not borrow during the period under review.

### 1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final

## SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

### 1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

#### (i) Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable bases are as follows:

- |                       |                      |
|-----------------------|----------------------|
| • Land                | Current Value        |
| • Buildings           | Cost or Market Value |
| • Plant and Equipment | Cost                 |

#### (ii) Investments in Other Entities

The Council disclosed the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

#### (iii) Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and may of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

#### (iv) Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity that is subject to common with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council.

## **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES**

- (b) Association being entities over which the Council has significant influence.
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close member of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such person is able to exercise significant influence.

The key management personnel of the Council are;

- (a) The Council Chairperson, elected Councilors, Co-opted members of the Audit and Procurement Committees, Chiefs who are part of the Council representing other Chiefs in the District, and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority. The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

### **(v) External Assistance**

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purpose for which assistance will be utilized. Lufwanyama Town Council disclose total external assistance received in cash during the period, total external assistance paid by the agencies from the benefit of the Council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

### **(vi) Payments to Third Parties**

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Lufwanyama Town Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

## NOTES TO FINANCIAL STATEMENTS

### 2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

| Local Tax Type        | 2023              | 2022             |
|-----------------------|-------------------|------------------|
|                       | <b>Kwacha</b>     | <b>Kwacha</b>    |
| Residential           | 35,583            | 9,826            |
| Industrial/Commercial | 31,007            | 13,430           |
| Mining/Plant          | 15,876,675        | 4,072,553        |
| Personal Levy         | 52,945            | 38,008           |
| <b>TOTAL</b>          | <b>15,996,210</b> | <b>4,133,817</b> |

The Council relied on the Valuation Roll updated for the period 2022 – 2027 to determine the property rates receivable.

### 3. Fees and Charges

The local authority generated cash receipts in form of fees and charges arising from offering various services as follows.

|                          |                  |                  |
|--------------------------|------------------|------------------|
|                          | <b>2023</b>      | <b>2022</b>      |
|                          | <b>Kwacha</b>    | <b>Kwacha</b>    |
| Fees and Charges         | 1,202,929        | 1,409,559        |
| Land Development Charges | 1,678,497        | 1,725,383        |
| <b>TOTAL</b>             | <b>2,881,426</b> | <b>3,134,942</b> |

## NOTES TO FINANCIAL STATEMENTS

### a. Fees and charges

The Council generated the following fees:

| <b>Fees and Charges Type</b>          | <b>2023</b>             | <b>2022</b>             |
|---------------------------------------|-------------------------|-------------------------|
|                                       | <b>Kwacha</b>           | <b>Kwacha</b>           |
| Consent fees                          | 253,118                 | 151,440                 |
| Change of premise use                 | 1,500                   |                         |
| Survey fees                           | -                       | 205,177                 |
| Container/Nthemba Fees                | 1,000                   |                         |
| Rentals/lease of Council's properties | -                       | 43,745                  |
| Application forms fees                | 176,870                 | 360                     |
| Rentals from houses                   | 80,580                  | 122,170                 |
| Sketch plan                           | -                       | -                       |
| Search fees                           | 5,330                   | 500                     |
| Hire of halls                         | 1,100                   | 20,600                  |
| Refuse                                | 1,750                   | 620                     |
| Farm produce levy                     | 457,212                 | 531,369                 |
| Building Inspection Fees              | 8,708                   | -                       |
| Car dealer levy                       | -                       | -                       |
| Communication mast levy               | 161,184                 | 125,000                 |
| Lease of Council Transport/Equipment  | 9,750                   | 69,700                  |
| Penalties                             | -                       | -                       |
| Other fees and charges                | 44,827                  | 138,878                 |
|                                       | <b><u>1,202,929</u></b> | <b><u>1,409,559</u></b> |

### b. Land Development Charges

The Council collected the following land development related charges

| <b>Charges Type</b>        | <b>2023</b>             | <b>2022</b>             |
|----------------------------|-------------------------|-------------------------|
|                            | <b>Kwacha</b>           | <b>kwacha</b>           |
| Premium Plot- Residential  | 847,381                 |                         |
| Premium Plot -- Commercial | 780,917                 | 253,133                 |
| Other charges              | 50,199                  | 87,500                  |
|                            | -                       | 1,384,750               |
| <b>TOTAL</b>               | <b><u>1,678,497</u></b> | <b><u>1,725,383</u></b> |

### 4. Licences

A total of K108,418 cash receipts was raised from issuance of various licences.

| <b>Licence Type</b>            | <b>2023</b>           | <b>2022</b>           |
|--------------------------------|-----------------------|-----------------------|
|                                | <b>Kwacha</b>         | <b>Kwacha</b>         |
| Liquor licence                 | 3,950                 | 3,871                 |
| Firearm and ammunition licence | 11,409                | 7,250                 |
| Petroleum licence              | 92,509                | 156,700               |
| Dog licence                    | 550                   | 600                   |
| <b>TOTAL</b>                   | <b><u>108,418</u></b> | <b><u>168,421</u></b> |

## NOTES TO FINANCIAL STATEMENTS

### 5. Levies

The Council generated a total of **K765,773** cash receipts by charging levies as follows:

| Type of Levy   | 2023<br>Kwacha | 2022<br>Kwacha |
|----------------|----------------|----------------|
| Livestock levy | 31,301         | 34,036         |
| Fish levy      | 200            | 1,266          |
| Charcoal levy  | 159,940        | 190,796        |
| Timber Levy    | 574,332        | 534,677        |
| Other levies   | -              | 39,396         |
| <b>TOTAL</b>   | <b>765,773</b> | <b>800,171</b> |

### 6. Permits

The Council generated a total of **K232,149** cash receipts from issuing various permits as follows:

| Type of Permit                | 2023<br>Kwacha | 2022<br>Kwacha |
|-------------------------------|----------------|----------------|
| Health permits                | 45,110         | 73,600         |
| Transportation of Opaque beer | 3,000          | -              |
| Fire certificate              | 112,766        | 172,847        |
| Business permits              | 71,273         | 34,708         |
| <b>TOTAL</b>                  | <b>232,149</b> | <b>281,155</b> |

**NOTES TO FINANCIAL STATEMENTS**

**7. Local Government Equalisation Fund**

**a. Funding**

|              | <b>2023</b>       | <b>2022</b>       |
|--------------|-------------------|-------------------|
|              | <b>Kwacha</b>     | <b>Kwacha</b>     |
| 1st Funding  | 842,334           | 855,926           |
| 2nd Funding  | 820,664           | 839,879           |
| 3rd Funding  | 842,840           | 863,683           |
| 4th Funding  | 840,384           | 826,430           |
| 5th Funding  | 840,384           | 848,707           |
| 6th Funding  | 841,656           | 855,126           |
| 7th Funding  | 844,406           | 845,399           |
| 8th Funding  | 844,406           | 866,353           |
| 9th Funding  | 844,406           | 844,687           |
| 10th Funding | 844,406           | 844,345           |
| 11th Funding | 844,406           | 841,576           |
| 12th Funding | 837,906           | 843,225           |
| <b>TOTAL</b> | <b>10,088,200</b> | <b>10,175,337</b> |

**b. Operational Expenditure**

The Council applied amounts totaling to K8,194,866 of LGEF receipts towards meeting operational expenses on Salaries and Wages and goods and services representing 81% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments on notes 7b.

**c. Capital Expenditure**

The Council applied amounts totalling K1,968,792 of LGEF receipts towards meeting capital expenditure representing 19.5 % of the total LGEF funding for the reporting period. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments note 7c.

## NOTES TO FINANCIAL STATEMENTS

### 8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analyzed as follows:

#### 8(a) FUNDING

|                      | 2023<br>Kwacha    | 2022<br>Kwacha    |
|----------------------|-------------------|-------------------|
| Community Projects   | 14,279,546        | 11,938,162        |
| Disaster Contingency | 806,946           | 733,587           |
| Empowerment Grants   | 2,689,821         | 1,956,233         |
| Empoerment Loans     | 2,689,821         | 2,934,350         |
| Bursaries            | 5,379,641         | 4,890,583         |
| Administrative Costs | 1,415,695         | 1,286,996         |
| <b>sub total</b>     | <b>27,261,470</b> | <b>23,739,911</b> |

#### 8(b) Loan Repayments

|                  | 2023<br>Kwacha | 2022<br>Kwacha |
|------------------|----------------|----------------|
| Loans Repayments | 328,190        |                |
| <b>sub total</b> | <b>328,190</b> | <b>-</b>       |

#### 8 (c) Other Receipts

|                          | 2023<br>Kwacha | 2022<br>Kwacha |
|--------------------------|----------------|----------------|
| Inerest Earned           | -              | 37,139         |
| Sale of Tender Documents | 21,500         | 47,000         |
| <b>Toyal</b>             | <b>21,500</b>  | <b>84,139</b>  |

#### 8(d) Infrastructure Development

|                                     | 2023<br>Kwacha    | 2022<br>Kwacha   |
|-------------------------------------|-------------------|------------------|
| Construction of Primary Schools     | 3,897,853         | 1,473,550        |
| School desks                        | 11,765,000        |                  |
| Construction of Markets             | -                 | 335,104          |
| Construction of Clinic/Health Posts | 2,004,427         | 613,546          |
| Construction of Boreholes           | 701,918           | 729,109          |
| Construction of Staff houses        | 3,172,865         | -                |
| Construction of Ablution Blocks     | 736,804           | -                |
| Construction of water schemes       | 335,485           | -                |
| Construction of Bridges & Culverts  | 224,924           | -                |
| <b>sub total</b>                    | <b>22,839,276</b> | <b>3,151,309</b> |

**NOTES TO FINANCIAL STATEMENTS**

**8(e) Rehabilitation Works and Upgrades**

|                                  | <b>2023</b>    | <b>2022</b>   |
|----------------------------------|----------------|---------------|
|                                  | <b>Kwacha</b>  | <b>Kwacha</b> |
| Rehabilitation of Feeder Roads   | -              | 58,960        |
| Rehabilitation of Markets        | 16,600         | -             |
| Rehabilitation o Primary schools | 56,415         | -             |
| Rehabilitation of Health Centres | 48,178         | -             |
| <b>sub total</b>                 | <b>121,193</b> | <b>58,960</b> |

**8(f) Asset Acquisitions**

|                         | <b>2023</b>   | <b>2022</b>   |
|-------------------------|---------------|---------------|
|                         | <b>Kwacha</b> | <b>Kwacha</b> |
| Computers & Peripherals | 18,500        | -             |
| Filing Cabinets         | 44,880        | -             |
| <b>sub total</b>        | <b>63,380</b> | <b>-</b>      |

**8(g) Rural Electrifications**

|                                  | <b>2023</b>    | <b>2022</b>   |
|----------------------------------|----------------|---------------|
|                                  | <b>Kwacha</b>  | <b>Kwacha</b> |
| Electrification of Market        | 91,748         | -             |
| Electrification of Health centre | 91,748         | -             |
| <b>Total</b>                     | <b>183,496</b> | <b>-</b>      |

**8(h) Social Benefits**

|                              | <b>2023</b>      | <b>2022</b>      |
|------------------------------|------------------|------------------|
|                              | <b>Kwacha</b>    | <b>Kwacha</b>    |
| Community Empowerment Grants | 1,454,932        | 2,258,588        |
| <b>sub total</b>             | <b>1,454,932</b> | <b>2,258,588</b> |

**8(i) Loans**

|                   | <b>2023</b>      | <b>2022</b>   |
|-------------------|------------------|---------------|
|                   | <b>Kwacha</b>    | <b>Kwacha</b> |
| Empowerment loans | 5,915,784        | -             |
| <b>sub total</b>  | <b>5,915,784</b> | <b>-</b>      |

## NOTES TO FINANCIAL STATEMENTS

### 8(j) Secondary Boarding Schools & Skills Development Bursaries

|                            | 2023             | 2022             |
|----------------------------|------------------|------------------|
|                            | Kwacha           | Kwacha           |
| Skills Development         | 3,528,211        | 1,881,558        |
| Secondary Boarding Schools | 323,000          | 163,000          |
| <b>sub total</b>           | <b>3,851,211</b> | <b>2,044,558</b> |

### 8(k) Administrative Costs

|                                  | 2023             | 2022           |
|----------------------------------|------------------|----------------|
|                                  | Kwacha           | Kwacha         |
| Stationery                       | 234,056          | 22,250         |
| Allowances                       | 1,151,765        | 892,628        |
| Fuel                             | 220,980          | 33,706         |
| Bank Charges/Admin fees on Loans | 155,783          | -              |
| Transport                        | 41,800           | -              |
| Mtce of CDF Vehicle              | 41,941           | -              |
| <b>sub total</b>                 | <b>1,846,326</b> | <b>948,584</b> |

### 8(m) Disaster Contingency

|                         | 2023           | 2022     |
|-------------------------|----------------|----------|
|                         | Kwacha         | Kwacha   |
| Hospitals, Clinics, RHC | 444,303        | -        |
| Markets                 | 7,000          | -        |
| Water Transport         | 220,000        | -        |
| <b>sub total</b>        | <b>671,303</b> | <b>-</b> |

*Note: The over expenditure on Infrastructure, Loans and Administrative costs were due to balance brought forward from 2022 budget allocations.*

### 9. Other grants

During the year, the Council received the following grants:

| Revenue Source            | 2023             | 2022             |
|---------------------------|------------------|------------------|
|                           | Kwacha           | Kwacha           |
| Grants from other sources | 1,085,025        | 283,364          |
| Grant in lieu of rates    | 1,000,000        | 472,547          |
| Other grants              | -                | 2,907,853        |
| <b>TOTAL</b>              | <b>2,085,025</b> | <b>3,663,764</b> |

## NOTES TO FINANCIAL STATEMENTS

### 10. Borrowings

During the year the Council did not contract any loan.

### 11. Council Commercial Venture

The Council received K87,801 from the Council lodge during the year under review

| Sales                     | 2023<br>Kwacha | 2022<br>Kwacha |
|---------------------------|----------------|----------------|
| Liquor Undertakings       | 248,472        | -              |
| Hotel, Motel & Resthouses | 578,000        | -              |
| Shops & Markets           | -              | -              |
| Other Incomes             | -              | -              |
|                           | <u>826,472</u> | <u>-</u>       |
| <b>Expenditure</b>        |                |                |
| Liquor Undertakings       | 211,682        | -              |
| Hotel, Motel & Resthouses | 493,724        | -              |
| Shops & Markets           | -              | -              |
| Other Incomes             | 33,265         | -              |
|                           | <u>738,671</u> | <u>-</u>       |
| <b>Surplus/Deficit</b>    | <u>87,801</u>  | <u>-</u>       |

### 12. Other Receipts

The Council received amounts totaling K719,617 in its various bank accounts

|                                                    | 2023<br>Kwacha | 2022<br>Kwacha |
|----------------------------------------------------|----------------|----------------|
| Interest on Received-Dist Fund                     | 153,134        | 83,683         |
| Interest on Received-Service Charge Acc            | 7,535          | 50,924         |
| Interest on Capital Account-Natsave                | 4,929          | -              |
| Interest on Received on Staff loans-Revolving Fund | 22,721         | 7,960          |
| Interest on Received-Operations                    | 14,660         | -              |
| Interest on Received-WDF Fund                      | 16,948         | 12,911         |
| CDF Loans Repayments                               | 328,190        | -              |
| Sale of Tender Documents                           | 21,500         | -              |
| Sale of Non runner Vehicles                        | -              | 228,600        |
| Other Receipts                                     | -              | 46,499         |
| Debtors                                            | 150,000        | -              |
|                                                    | <u>719,617</u> | <u>430,577</u> |

## NOTES TO FINANCIAL STATEMENTS

### 13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Town Council. The Council had categories of staff that were paid as follows:

| Grade               | 2023<br>Kwacha    | 2022<br>Kwacha    |
|---------------------|-------------------|-------------------|
| Salaries Div. I     | 3,554,580         | 3,209,584         |
| Salaries Div II     | 2,873,470         | 2,381,529         |
| Salaries Div III    | 2,474,639         | 2,430,959         |
| Wages - Division IV | 2,561,183         | 2,103,338         |
| <b>TOTAL</b>        | <b>11,463,871</b> | <b>10,125,410</b> |

### 14. Use of Goods and Service

General expenditure consists of expenditure incurred on administrative activities

| Goods and Services                         | 2023<br>Kwacha    | 2022<br>Kwacha    |
|--------------------------------------------|-------------------|-------------------|
| Expenditure Type                           |                   |                   |
| Office Costs                               | 605,700           | 418,841           |
| Buildings, Repair and Maintenance Costs    | 520,861           | 205,014           |
| Plant, Machinery and Vehicle Running Costs | 2,731,151         | 1,458,897         |
| Other Administrative Cost                  | 3,480,060         | 2,097,372         |
| Requisites                                 | 374,954           | 704,690           |
| Services                                   | 5,971,892         | 4,405,226         |
| Travel Expenses                            | 1,758,563         | 1,072,589         |
| Training                                   | 3,914,931         | 263,555           |
| <b>TOTAL</b>                               | <b>19,358,112</b> | <b>10,626,184</b> |

### 15. Financial Charges

The Council paid nothing in financial charges.

### 16. Social Benefits

The Council spent a total of K7,370,716 during the year towards Social Benefits broken down as follows:

|                 | 2023<br>Kwacha   | 2022<br>Kwacha   |
|-----------------|------------------|------------------|
| Social Benefits | 7,370,716        | 3,970,384        |
|                 | <u>7,370,716</u> | <u>3,970,384</u> |

- K1,454,932 on Community Empowerment Grants
- K5,915,784 Empowerment Loans

## NOTES TO FINANCIAL STATEMENTS

### 17. Non-financial Asset Acquisition

Acquisition of assets involved the following payments: K28,285,882

|                                     | 2023              | 2022             |
|-------------------------------------|-------------------|------------------|
|                                     | Kwacha            | Kwacha           |
| Office Furniture                    | 55,980            | 14,400           |
| Computers & Peripherals             | 399,835           | 221,950          |
| Industrial Building (Council Lodge) | 1,507,000         | 1,333,386        |
| Schools                             | 17,878,209        | 2,304,109        |
| Hospitals, Clinics & Health Posts   | 5,033,445         | 658,739          |
| Boreholes & Water Reticulatuin      | 1,101,321         | 847,529          |
| Water Bowser                        | 355,000           | -                |
| Air conditioner                     | 30,000            | -                |
| Office Building                     | 337,810           | -                |
| Market Shelters                     | 637,822           | -                |
| Motor Vehicles                      | 907,200           | -                |
| Motor Bike                          | 42,000            | -                |
| <b>sub total</b>                    | <b>28,285,622</b> | <b>5,380,113</b> |

### 18. Financial Asset

The Council paid a total of K 5,915,784.00 to various organisations as loans during the year under review.

### 19. Loan Repayments

There were no loan repayments because Council had no loan obligation

### 20. Other Payments

These relate to sundry items such as Staff creditors and Trade Creditors.

| Details                           | 2023          | 2022           |
|-----------------------------------|---------------|----------------|
|                                   | Kwacha        | Kwacha         |
| National Pension Scheme Authority | -             | 309,454        |
| Terminal Benefits                 | 89,563        | 228,890        |
| Gratuity                          | -             | 108,046        |
| Leave Travel Benefits             | 8,500         | -              |
| <b>Total</b>                      | <b>98,063</b> | <b>646,390</b> |

### 21. Foreign Exchange Losses

These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances

## NOTES TO FINANCIAL STATEMENTS

### 22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

|                  | 2023              | 2022              |
|------------------|-------------------|-------------------|
|                  | Kwacha            | Kwacha            |
| Cash on hand     | -                 | -                 |
| Demand Deposits  | 16,162,361        | 22,512,657        |
| Cash equivalents | -                 | -                 |
| <b>TOTAL</b>     | <b>16,162,361</b> | <b>22,512,657</b> |

#### a. Cash on hand

The Council had no cash at hand

#### b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31<sup>st</sup> December 2023:

| Account                       | Bank/Account No.        | 2023              | 2022              |
|-------------------------------|-------------------------|-------------------|-------------------|
|                               |                         | Kwacha            | Kwacha            |
| District Fund Account         | Zanaco -011093200158    | 5,257,161         | 3,827,188         |
| Capital Account               | Invetrust-0110288211010 | 198,324           | 545,072           |
| Rural Water Account           | Zanaco-1548892300155    | 98,245            | 71,249            |
| Project Account               | Zanaco-1325062300181    | 56,438            | 2,780             |
| Service Charge Account        | Natsave-3170124339501   | 1,614,831         | 42,979            |
| Fire Services Account         | Natsave -3171742525402  | 89,253            | 23,697            |
| Loan Revolving Fund Account   | Natsave -3171742525401  | 28,741            | 51,293            |
| Operations Account            | Natsave - 3170124076101 | 70,438            | 7,401             |
| SOMAP Shop Account            | Natsave - 3170140852601 | -                 | 482               |
| Ward Development Fund Account | Natsave - 3171757386901 | 461,670           | 676,609           |
| CDF Account                   | Natsave-3170141448601   | 7,680,359         | 15,798,017        |
| CDF-Revolving Fund            | Natsave-3170141448602   | 247,809           | 1,465,891         |
| Capital Account               | Natsave -3170178013501  | 271,290           | -                 |
| Council Venture               | Natsave-3170140852602   | 87,801            | -                 |
| <b>Total</b>                  |                         | <b>16,162,361</b> | <b>22,512,658</b> |

#### c. Cash Equivalents

The Council did not hold treasury bills at the end of the year.

#### d. Bank Overdrafts

The Council did not have any Bank Overdrafts during the year under review

## NOTES TO FINANCIAL STATEMENTS

### 23. Budget Adjustments and Variances

#### a. Budget Adjustments

The Budget was adjusted upwards by K3,367,253 following the increase in Mining/Plant rates, and according the expenditure was adjusted by the same amount.

#### b. Budget Variances

The budget variances have been explained in accompanying notes

#### • Fees and Charges

The Council planned to generate K4,800,011 from Fees and Charges but collected K2,881,425 resulting in a variance of 40%. The under-collection efficiency was attributed to non-payments of Conveyance fees and other Charges.

#### • Licenses

The Council planned to generate K154,000 from Licenses but collected K108,418 giving a variance of 30%. Some Business entities were late in paying License's as they paid in January 2024 instead of the usual licensing period of October to December.

#### • Permits

The Council planned to generate K290,600 from Business Permits but collected K232,149 giving a variance of 20%. Some Business entities were late in paying for the Permits as they paid in January 2024 instead of the usual licensing period of October to December.

#### • Other Grants

The Council did not budget for other grants but received K1,085,025 during the year under review from various Cooperating Partners and K1,000,000 Grants in Lieu of rates from the Ministry.

#### • Other receipts:

During the year under review, the Council planned to collect K195,000 but collected K719,617 giving a variance of -267%. The over collection was as a result of K328,190 received from CDF loan repayments and Interest earned on various Council Accounts amounting to K219,927, K21,500 realized from sale of tender documents and K150,000 from Debtors.

#### • Use of Goods and services

The Council planned to spend K19,182,632 on procurement of goods and services but spent K19,358,112

#### • Social Benefits

The Council planned to spend K5,379,642 on Social benefits but spent K7,370,716 giving a variance of -37%. This was due to unutilized funds for financial year ended 2022 which were spent in the year ending 2023.

## NOTES TO FINANCIAL STATEMENTS

- Acquisition of Non-Financial Assets**

The Council planned to spend K23,068,777 on Acquisition of Non-Financial Assets but spent K28,285,622 giving a variance of -23%. This was due to unutilized funds for financial year ended 2022 which were spent in the year ending 2023.

- Other Payments**

The Council planned to spend K760,000 on other payments (Liquidation of Staff Creditors and Statutory obligations) but spent K98,063 resulting in a variance of 87%. This was because of non-availability of finances to execute the programmes.

### 24 Provision of Services

The Town Council incurs expenditure to offering services it is mandated to provide to the residents of the District.

|                                      | 2023             | 2022             |
|--------------------------------------|------------------|------------------|
|                                      | Kwacha           | Kwacha           |
| Valuation of Properties              | -                | 488,770          |
| Fire Prevention                      | 42,470           | -                |
| Grading of Feeder Roads              | 943,969          | 286,156          |
| Refuse Collection                    | 69,303           | 52,054           |
| Rehabilitation/Drilling of Boreholes | 1,101,321        | 1,031,890        |
| Market Facilities                    | 638,082          | 613,049          |
| Construction of Bridges and Culverts | 970,050          | -                |
| Land demarcation and survey          | 105,291          | 245,412          |
| Bush Clearing                        | -                | 80,067           |
| Maintenance o Council Buildings      | 432,861          | 205,014          |
| Pool Transport/Heavy Equipment       | 2,731,151        | 1,458,897        |
| Protective Clothins                  | 263,240          |                  |
| Provision of Water Transport         | 180,000          |                  |
| Establishment of street lights       | 223,710          |                  |
| <b>Total</b>                         | <b>7,701,448</b> | <b>4,461,309</b> |

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

## NOTES TO FINANCIAL STATEMENTS

### 25 Property, Plant and Equipment

The Council had property, plant and Equipment valued at K48,332,202

|                   | Land and Buildings | Motor vehicles | Plant & Machinery | Equipment & Furniture | TOTAL      |
|-------------------|--------------------|----------------|-------------------|-----------------------|------------|
|                   | Kwacha             | Kwacha         | Kwacha            | Kwacha                | Kwacha     |
| Opening balance   | 9,340,228          | 3,015,079      | 6,951,755         | 739,518               | 20,046,580 |
| Additions         | 25,394,286         | 949,200        | 355,000.00        | 1,587,136             | 28,285,622 |
| Revaluation       | -                  | -              | -                 | -                     | -          |
| Re-classification | -                  | -              | -                 | -                     | -          |
| Disposal          | -                  | -              | -                 | -                     | -          |
| Closing balance   | 34,734,514         | 3,964,279      | 7,306,755         | 2,326,654             | 48,332,202 |

### 26. Investments in Other Entities

The Local Authority did not hold shares in any Company

### 27. Administered Transactions

The Local Authority does not administer tax collection on behalf of Zambia Revenue Authority.

### 28. Related Party Disclosures

The following disclosures are made in the financial statements of Lufwanyama Town Local Authority

#### a. Fringe Benefits Disclosures

The Council Chairperson was provided with a personal-to-holder car, an office and personal Secretary

#### b. Remuneration of the Councillors

The aggregate remuneration of members of the Local Authority and the number of individuals determined on a full-time equivalent basis receiving remuneration from Lufwanyama Town Local Authority are:

|                        |                 |
|------------------------|-----------------|
| Aggregate Remuneration | <b>K828,000</b> |
| Number of persons      | <b>23</b>       |

None of the Councillors acquired loans from the Local Authority during the period under Review nor had any outstanding loans

#### c. Remuneration of Senior Management

The aggregate remuneration of members of Senior Management and the number of individuals determined on a full-time equivalent basis receiving remunerations from the Local Authority are:

|                        |                   |
|------------------------|-------------------|
| Aggregate Remuneration | <b>K1,193,588</b> |
| Number of persons      | <b>8</b>          |

## NOTES TO FINANCIAL STATEMENTS

### 29. External Assistance

During the period under review the Local Authority did not receive any external assistance.

### 30. Third Party Payments

Lufwanyama Town Council during the period under review did not engage in any party's transactions

## APPENDICES

### APPENDIX A CREDITORS

#### LUFWANYAMA TOWN COUNCIL SUMMARY OF CREDITORS

#### REPORTING AS AT 31ST DECEMBER 2023

|                     | 01.01.2023<br>Opening balance | Additions (Jan<br>2023-Dec 2023) | Total             | Payment          | Closing Balance   |
|---------------------|-------------------------------|----------------------------------|-------------------|------------------|-------------------|
| NAPSA-<br>PRINCIPAL | 17,297                        | 1,035,005                        | 1,052,301         | 1,033,005        | 19,297            |
| NAPSA-<br>PENALTIES | 9,190,929                     | -                                | 9,190,929         | -                | 9,190,929         |
| ZRA<br>PRINCIPAL    | 3,819,006                     | 1,332,850                        | 5,151,856         | 1,007,833        | 4,144,023         |
| ZRA<br>INTEREST     | 186,595                       |                                  | 186,595           | -                | 186,595           |
| ZRA<br>PENALTIES    | 1,172,361                     |                                  | 1,172,361         | -                | 1,172,361         |
| LASF                | - 95,150                      | 217,752                          | 122,602           | 234,599          | - 111,997         |
| <b>Total</b>        | <b>14,291,038</b>             | <b>2,585,606</b>                 | <b>16,876,644</b> | <b>2,275,436</b> | <b>14,601,208</b> |